

increased? That is, do your parents need to restructure their portfolio by increasing the proportion of fixed or guaranteed income, such as bonds or AAA dividend-yielding stocks? This is where a financial advisor can be helpful—someone who knows how to maximize income in retirement.

In the right-hand column, write down your parents' household expenses. Get them to assess as realistically as possible how much money they spend on food, clothing, health care, house maintenance and utilities (including phone and Internet). Keep an eye out for hidden costs they might not think of right away. Do they hire a maid or gardener to help with the house or garden? What about security and alarm systems? How much do they spend on gas, car maintenance and other transportation costs? Most of these expenses can be found in their checkbook or credit card statements. Don't forget to write down costs associated with leisure activities, such as monthly magazine subscriptions, club dues, sporting events, entertainment and any cultural events they attend. Do they travel regularly? Write it all down. After each item, ask the following question: *Can this number be reduced?* Are there certain things your parents can do less frequently, or make do without? The goal is to patch up any existing money leaks, creating a reserve for long-term care and other unexpected events.

I talked about setting aside a Secret 10 early in life; now is the time for a Critical 10. This money is to be used in case of emergency. The Critical 10 should amount to roughly 10 percent of expenses. If your parents' expenses amount to \$4,000 a month, they need to be setting aside \$400 each month for their Critical 10.

If possible, take your parents to meet with your financial advisor. He or she will be able to help them look at their options, possibly moving their money into more appropriate investment vehicles. If there's still a deficit every month—and if your parents are still healthy and active—they might consider continuing to work part time in retirement. Many seniors don't want to stop working; they enjoy having something to do. If your parents have a technical skill or a professional background, perhaps they will want to make themselves available for part-time or consulting work the way my